PRESIDENCY DESK · BRIEF 1 OF 4

ReArm Europe

What Ireland Should Lock In

The rules being written now determine whether Ireland's geographic contribution to European security qualifies for EU funding, or whether only states with large militaries and defence industries benefit. Ireland chairs the Council where these rules are decided.

Security Ireland

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KEY FINDINGS

Ireland's strategic objective for the Presidency is to establish itself as a permanent, credible contributor to European security in the domains where its geography is irreplaceable — maritime surveillance, subsea infrastructure, and cyber resilience — so that when the Presidency ends, Ireland has locked in a role that outlasts the political window. ReArm Europe is the mechanism through which this role is either funded or not. The SAFE facility (€150 billion), EDIP (€1.5 billion), and the next MFF defence chapter will determine which kinds of defence contribution qualify for European support. If the rules reward only large-scale military procurement, Ireland is excluded; if they recognise domain-specific contribution, Ireland's geographic assets become fundable European security infrastructure. Ireland chairs the Council where these rules are being written. This brief identifies four actions that lock in Ireland's permanent role through the ReArm Europe architecture.

The strategic objective

Ireland's strategic objective for the Presidency is to establish itself as a permanent, credible contributor to European security in the domains where its geography is irreplaceable — maritime surveillance, subsea infrastructure protection, and cyber resilience — so that when the Presidency ends in December 2026, Ireland has locked in a role that outlasts the political window.

This is not altruism; a permanent role means Ireland is no longer vulnerable to the free-rider accusation. Additionally, it means EU funding instruments recognise Ireland's contribution, while giving bilateral and EU partners institutional reasons to cooperate with Ireland beyond the goodwill of any single government. The Presidency is the six-month window in which this can be achieved. After December 2026, the political attention moves elsewhere.

> **WHY REARM EUROPE MATTERS FOR THIS OBJECTIVE** ReArm Europe is writing the rules for EU defence funding for the next decade. The SAFE facility and EDIP will determine which kinds of defence contribution qualify for European support. Ireland chairs the Council where these rules are being applied. This is not a background condition; it is the mechanism through which Ireland's permanent role is either funded or not.

What ReArm Europe is

€800bn
Target for European defence investment by 2030

€150bn
SAFE loan facility: first disbursements March 2026

€1.5bn
EDIP grants for joint procurement (2025–27)

16 states
Already approved for SAFE — Ireland has not applied

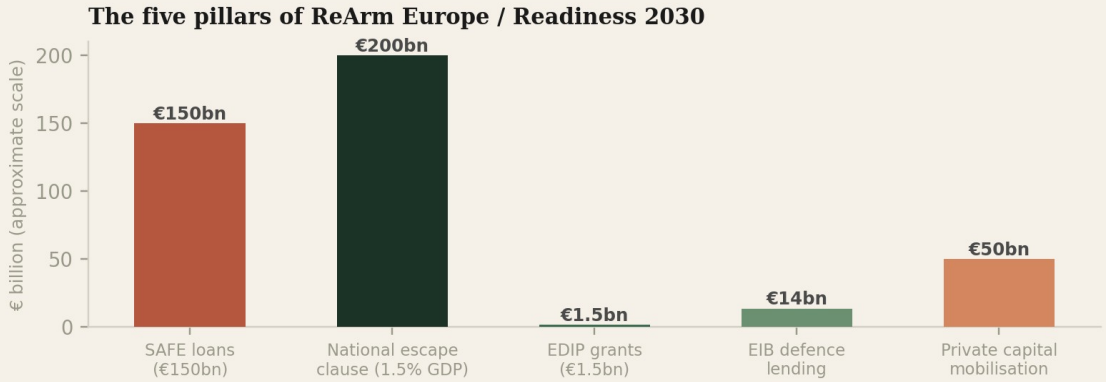

Figure 1: The five pillars of ReArm Europe / Readiness 2030. Each is a distinct financing channel with different institutions, timelines, and governance. Ireland's Presidency directly governs the implementation of SAFE and EDIP.

ReArm Europe is not a single fund, it is a political framework announced in March 2025 setting an €800 billion target for European defence investment by 2030. The target aggregates five distinct financing channels:

1. **National defence budgets**: ~€500 billion, facilitated by fiscal flexibility
2. **The SAFE loan facility**: €150 billion in EU-backed loans for joint procurement
3. **EDIP grants**: €1.5 billion for industrial capacity and joint projects
4. **EIB defence lending**: ~€13.5 billion
5. **Private capital mobilisation**.

The two channels Ireland's Presidency directly governs are SAFE and EDIP. The rules for how these instruments are implemented — what counts as eligible procurement, what constitutes participation, whether domain-specific capability qualifies — are being decided now. These rules will persist for years beyond Ireland's six months in the chair.

SAFE — SECURITY ACTION FOR EUROPE (€150 BILLION)

Adopted May 2025. The Commission borrows on capital markets and lends to member states at favourable terms (up to 45-year maturity) for joint defence procurement. Procurement must involve at least two participating countries. No more than 35% of component costs may originate from outside the EU/EEA/Ukraine. Contractors must be established in the EU/EEA or Ukraine. Sixteen member states approved for loans as of February 2026. First disbursements March 2026. A second call for expressions of interest can be launched before 31 December 2026 — during Ireland's term. The Council has authorised negotiations with the UK and Canada on participation.

EDIP — EUROPEAN DEFENCE INDUSTRY PROGRAMME (€1.5 BILLION)
Adopted December 2025. Grants for joint procurement (minimum three countries, at least two member states), industrial ramp-up, and defence projects of common interest. A Defence Industrial Readiness Board oversees implementation and identifies priority projects. EDIP includes a pilot European Military Sales Mechanism, SME support, and a fund to accelerate supply chain transformation (FAST). The implementing rules being drafted now determine what counts as 'participation' — whether manufacturing only, or also technology contribution.

What's being decided during Ireland's term

Not everything about ReArm Europe is Ireland's business: national spending decisions are sovereign; the German debt brake is domestic. But five specific decisions are being made in Council configurations Ireland chairs, and each affects whether Ireland's geographic contribution qualifies for EU support.

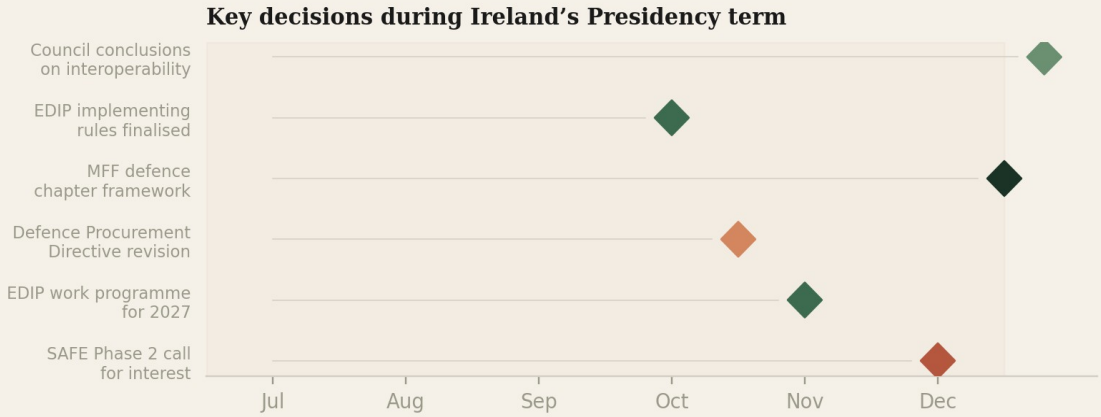

Figure 2: Key decisions during Ireland's Presidency term (July–December 2026). Each diamond represents a decision point in a Council configuration Ireland chairs. All five affect whether Ireland's domain-specific contribution qualifies for EU funding.

1. SAFE Phase 2 call for interest

The first batch of SAFE loans has been approved for 16 member states; the second call for expressions of interest can be launched before 31 December 2026. Ireland's Presidency sets the timeline and shapes the terms: if the Phase 2 terms broaden what counts as eligible procurement — including maritime surveillance systems, subsea monitoring infrastructure, and cyber capability — Ireland's domains become fundable. If the terms remain focused on major weapons platforms, Ireland's contribution does not register.

2. EDIP implementing rules

The Defence Industrial Readiness Board is drafting EDIP's work programme. The definition of 'participation' in EDIP consortia — whether it requires defence manufacturing capacity or includes technology contribution (AI, cyber, maritime sensing, dual-use) — is being decided now. This is not a theoretical question for Ireland. If participation means building tanks, Ireland is excluded. If it means contributing Sea-Scan maritime AI or cybersecurity expertise, Ireland's technology sector can participate in EU defence industrial programmes.

3. Defence Procurement Directive revision

The Commission's 2026 revision of the Defence Procurement Directive will consider adding a European supplier preference. The question is whether the preference is tied to joint procurement (rewarding cooperation — good for Ireland) or to national

procurement (rewarding scale — bad for Ireland). Ireland chairs the Council discussions on how this preference is structured.

4. The MFF defence chapter

Ireland is expected to advance the next seven-year EU budget by Christmas 2026. The successor to EDIP — whether it exists, how large it is, what domains it funds — will be shaped by the framework Ireland establishes. If maritime surveillance, subsea infrastructure, and cyber resilience are named as priority domains in the MFF framework text, Ireland's contribution has a permanent funding pathway. If the defence chapter is written generically, the specific domains where Ireland contributes may not qualify.

5. EDIP implementing rules finalisation

The rules determining how EDIP grants are allocated — which consortia qualify, what co-financing rates apply, whether PESCO participation earns preferential treatment — are being finalised during Ireland's term. These rules connect EDIP to PESCO and determine whether Ireland's seven PESCO projects can serve as pipelines to EDIP funding.

Where the money goes — and where Ireland fits

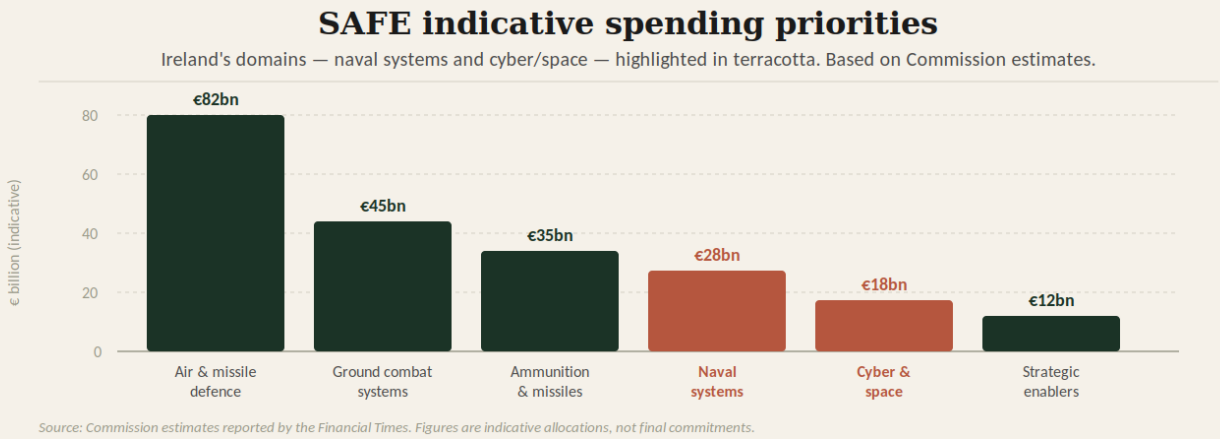

Figure 3: Indicative SAFE spending priorities. Air and missile defence dominates. Ireland's domains — naval systems and cyber/space — account for a combined ~€46 billion. These are fundable if the rules recognise domain-specific contribution. Based on Commission estimates reported by the Financial Times.

The problem ReArm Europe is trying to solve

Europe already spends more on defence than Russia and China combined, so the problem is not the total spending but that 27 countries each buying their own equipment produces fragmented demand, incompatible systems, and dependency on American suppliers. For every weapon type the United States fields, the EU maintains more than five variants — each requiring separate logistics, training, and spare parts.

When EU states had to procure equipment urgently after February 2022, 78% of acquisitions came from outside the EU, with 63% from the United States alone. ReArm Europe aims to redirect this spending toward European suppliers through joint procurement and industrial coordination. But more spending through the same fragmented system will reproduce fragmentation at a larger scale. The rules must change, not just the budget.

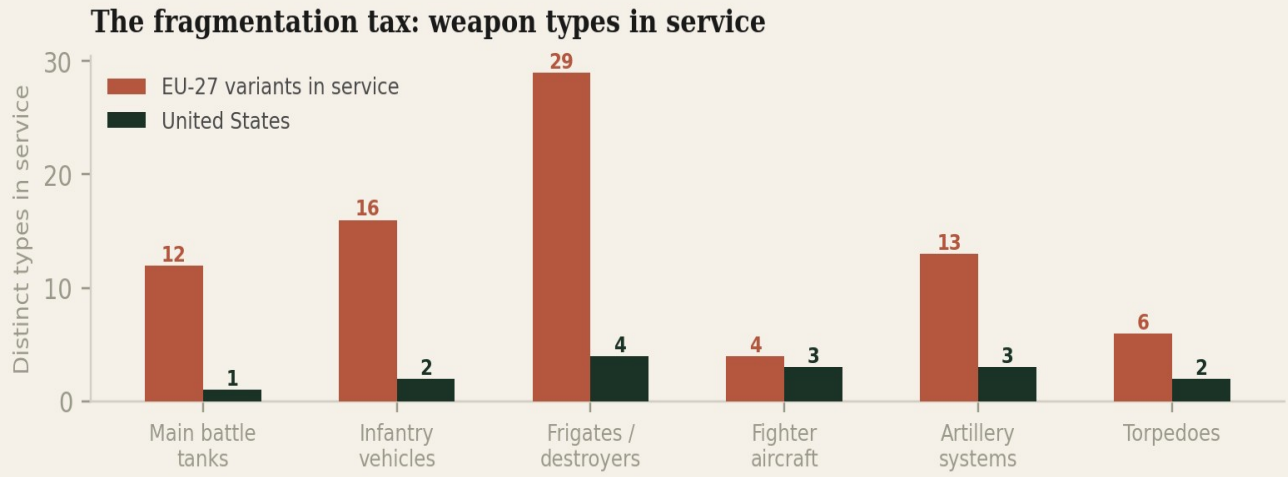

Figure 4: The fragmentation tax. For every weapon type the US fields, the EU maintains five or more variants. Each requires separate supply chains. This is the structural problem that procurement reform addresses.

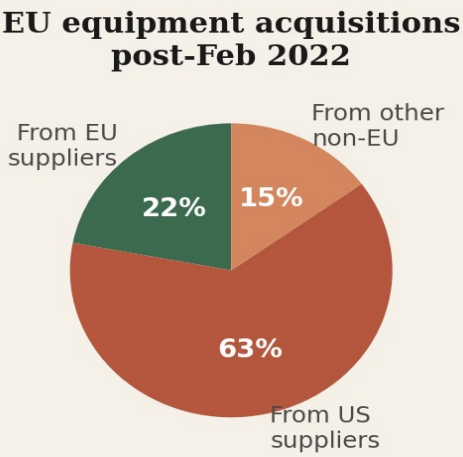

Figure 5: Post-February 2022 EU equipment acquisitions by source. 78% came from outside the EU. ReArm Europe's 'Buy European' rules aim to reverse this, but the rules must be structured to reward joint procurement, not national purchasing.

What Ireland should do

Four actions, each justified by how it advances the strategic objective of locking in Ireland's permanent security role in its geographic domains.

1. Apply for SAFE loans: for maritime and cyber procurement

Ireland has not applied for SAFE loans, which is the single most consequential gap given that sixteen member states have been approved. Ireland chairs the distribution of €150 billion without seeking any of it.

If Ireland wants the rules to recognise domain-specific contribution, it must demonstrate that it intends to use the instrument. A modest application — for the Thales CAPTAS sonar programme, for Sea-Scan maritime AI, for NCSC cyber capability — establishes Ireland as a SAFE participant, not just a SAFE administrator. The application does not need to be large, it just needs to exist.

There is a political objection, in that applying for defence loans contradicts Ireland's self-image as non-aligned. But SAFE loans are for defence procurement Ireland is already committed to — the sonar, the radar, the maritime security centre. The money is being spent regardless. The question is whether it is spent at national interest rates or at SAFE's preferential EU rates. There is no sovereignty cost; there is only a financing benefit.

> **THIS LOCKS IN:** *Ireland as a SAFE participant, not just a SAFE chair. Establishes precedent for future applications. Makes Ireland's domain-specific procurement visible in the EU funding architecture.*

2. Ensure EDIP implements rules recognise technology contribution

Ireland has no defence manufacturing base, however it does have a world-class technology sector: the European headquarters of most major American tech firms, a strong AI and cybersecurity research ecosystem, and dual-use capabilities in maritime sensing. The government is rightly moving to remove domestic barriers to dual-use sectors: the Minister for Enterprise is examining restrictions on Enterprise Ireland's engagement with dual-use technologies, and the Minister for Justice is introducing an interim security clearance process for Irish firms seeking EU defence contracts, with a National Security Agency to follow. IBEC and the IIEA have called for amending the Science and Technology Act 1987 to lift restrictions on dual-use engagement. But these domestic reforms only matter if the EU rules on the other side of the door recognise what Ireland offers. If EDIP's implementing rules define 'participation' as defence manufacturing, Ireland is excluded regardless. If they include technology contribution, Ireland's sector can participate.

Ireland should use its Presidency authority over Council working group agendas to ensure that the EDIP implementing rules include: recognition of cyber, AI, and maritime technology as EDIP-eligible contributions; allowance for dual-use technology firms to participate in EDIP consortia; and a pathway for states without defence manufacturing to participate through technology and capability contribution. This is the EU-side complement to the domestic reforms already underway. Removing Ireland's domestic barriers and ensuring the EU rules recognise technology contribution are two sides of the same door — both must open.

The European Parliament's position already includes provisions for SMEs, mid-caps, and start-ups. Ireland should align with Parliament's broader interpretation and broker it through the Council.

> **THIS LOCKS IN:** *A permanent pathway for Irish technology firms to participate in EU defence industrial programmes. Ireland's tech sector becomes a recognised contributor to the European defence industrial base.*

3. Tie SAFE Phase 2 terms to joint procurement incentives

The second call for SAFE expressions of interest will be launched during Ireland's term. Ireland should table a Presidency text giving preferential loan terms — lower rates, longer maturities, or higher pre-financing — for procurement conducted through joint mechanisms: PESCO projects, OCCAR programmes, or EDIP consortia.

This benefits Ireland directly because Ireland's procurement is too small for national scale but fits naturally into joint frameworks. Ireland's sonar procurement through PESCO maritime surveillance, its cyber capability through PESCO Cyber Threats — these become pathways to better SAFE terms. The proposal should be tabled at 30% joint procurement minimum for preferential terms, with Ireland prepared to settle at 15–20%.

France will resist anything that constrains national procurement. The compromise must use incentives, not mandates: states that buy jointly get better terms, states that buy nationally get standard terms. No one is forced to cooperate. Cooperation is simply rewarded.

> **THIS LOCKS IN:** *A financial incentive structure that permanently favours Ireland's cooperative model over the national procurement model it cannot compete in.*

4. Embed Ireland's domains in the MFF framework text

Ireland is expected to advance the seven-year EU budget by Christmas 2026. The defence chapter of the next MFF will determine whether EDIP becomes a permanent programme. Ireland should draft the Council framework text that names maritime surveillance, subsea infrastructure protection, and cyber resilience as priority domains for EU defence funding.

This is not special pleading. These domains serve European interests: transatlantic data cables, North Atlantic shipping lanes, critical energy interconnectors. But if the MFF defence chapter is written generically — 'capability development' without domain specificity — the funding will flow to air defence, ground combat, and strategic enablers where Ireland has no contribution. Naming the domains ensures Ireland's geographic contribution has a permanent funding line.

> **THIS LOCKS IN:** *Ireland's geographic contribution as a permanent category in EU defence funding, surviving beyond any single programme or Presidency.*

Where Ireland stands

Figure 6: SAFE loan applications by member state. Sixteen approved, three under review, eight not applied — including Ireland. Ireland chairs the Council that distributes these loans without having applied for any.

What happens if Ireland doesn't act

If Ireland chairs these meetings passively — facilitating discussion without shaping rules — the following outcomes are likely:

SAFE rules remain focused on major weapons platforms: Ireland's maritime and cyber procurement does not qualify for preferential terms. The €150 billion flows to states with large militaries and established defence industries. Ireland's sonar, radar, and maritime security centre are funded at national interest rates.

EDIP implementing rules define participation as defence manufacturing: Ireland's technology sector is excluded from the EU defence industrial base. Irish AI, cyber, and maritime sensing firms have no pathway to EDIP funding.

The MFF defence chapter is written generically: Air defence, ground combat, and strategic airlift receive permanent funding lines, while maritime surveillance and subsea protection do not. Ireland's geographic contribution has no institutional home in the EU budget.

> **THE BOTTOM LINE** The free-rider accusation survives the Presidency. Ireland chairs the largest defence spending programme in EU history, leaves no mark on the rules, and continues to be defined by the number it cannot change: 0.2% of GDP. The Presidency becomes a six-month administrative exercise instead of the moment Ireland locked in a permanent European security role.

Recommendations

#	Action	What it locks in	For whom	By when
1	Apply for SAFE loans for maritime and cyber procurement (sonar, Sea-Scan, NCSC)	Ireland as a SAFE participant, not just administrator	Minister's office	Before July 2026
2	Ensure EDIP implementing rules recognise technology contribution (cyber, AI, maritime sensing)	Permanent pathway for Irish tech in EU defence programmes	Dept of Defence / ITRE working group	October 2026
3	Table Presidency text tying SAFE Phase 2 preferential terms to joint procurement (30% target, settle at 15–20%)	Financial incentive for Ireland's cooperative model	DFA Presidency team	September 2026
4	Draft MFF framework text naming maritime, subsea, and cyber as priority defence domains	Ireland's geographic contribution as permanent EU budget category	General Affairs Council / European Council prep	December 2026

A NOTE ON METHOD

This brief assesses ReArm Europe through the lens of Ireland's strategic objective: locking in a permanent security role in its geographic domains. It does not assess ReArm Europe's overall merits or likelihood of success. Whether €800 billion translates into European capability is an important question addressed in the companion paper 'Europe's Defence Problem Isn't Spending.' This brief asks a narrower question: given that ReArm Europe exists, what should Ireland do about it?

Series context

First in the *Presidency Desk* series — four briefs on the EU instruments Ireland must steer during its Council Presidency. Companion briefs: PESCO Strategic Review; Maritime Surveillance Cooperation; Hybrid Threats and Cyber Defence.

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